Ch. 15 CW #1 Solutions

Principles of Microeconomics

December 16, 2025

15.1. Warm Up

1. The market needs to have many buyers and many sellers, and the goods offered by every seller need to be largely the same.

2. We assume that firms are trying to maximize their profit.

15.1. What is a Competitive Market

1. (c) – In a perfectly competitive market, firms are price takers.

2. (a) Milk is essentially the same regardless of the producer, and there are many buyers and sellers.

(b)

Quantity	Price	Total Revenue	Average Revenue	Marginal Revenue
1 gallon	\$6	\$6	\$6	\$6
2	6	12	6	6
3	6	18	6	6
4	6	24	6	6
5	6	30	6	6
6	6	36	6	6
7	6	42	6	6
8	6	48	6	6

3. (c) – Marginal revenue is the price of the good which is constant in a perfectly competitive industry. Total revenue is PQ, so it's proportional to the quantity sold. If quantity increases by 10%, total revenue increases by 10%.